

World in Brief: America and Iran sign their deal; Fed holds interest rates



Photograph: Getty Images

Donald Trump signed the memorandum of understanding to end America's war with Iran. Terms include an end to [fighting in Lebanon](#), the creation of a \$300bn fund for Iran's "reconstruction and economic development" and a ban on its having nuclear weapons. Iran is required to allow ships toll-free transit of the Strait of Hormuz for 60 days while the parties negotiate a final deal.

Shehbaz Sharif, Pakistan's prime minister, confirmed that **Iran** also signed the preliminary deal. America's president signed the document after dining with G7 leaders in Versailles—a place with a less-than-glorious history of delivering long-lasting peace treaties. He threatened to "bomb the hell" out of [Iran](#) if it violated the agreement. However, the president claimed American allies "love" the deal.

Also at the summit, Emmanuel Macron, France's president, said he noticed a "very deep change" in America's approach to **Ukraine**. Mr Macron said the entire G7 now recognised "the territorial integrity" of the country. Volodymyr Zelensky, [Ukraine's](#) president, said he had an "important co-ordinating conversation" with both Mr Trump and Mr Macron at the close of the summit.

Intel stocks rose by around 9% in pre-market trading after Mr Trump said that it would partner with **Apple** to design and make semiconductors in America. The Trump administration bought the government a stake in the American chipmaker last year and is determined to onshore production. Meanwhile Apple warned that it would raise the prices of several of its tech products due to the [surging cost of inputs](#), including memory chips.

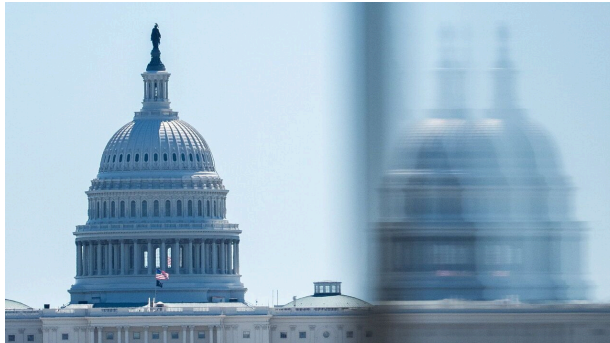
The **Federal Reserve** left its benchmark interest rate unchanged, at 3.5% to 3.75%, after [Kevin Warsh's](#) first policy meeting as chair. Nine out of 19 Fed officials who attended the meeting said they expected at least one increase this year; Mr Warsh did not offer a prediction. Yields on two-year bonds rose and American stocks fell before markets closed.

The **National Stock Exchange**, India's largest bourse, filed for an initial public offering. The pricing and valuation of the IPO are not yet known, but it has the potential to be India's largest ever. If [Jio](#), a telecoms giant, also lists, as is expected, a lean year so far for Indian IPOs may yet turn into a bumper one.

The **European Parliament** voted to allow countries to open "return hubs" outside EU borders. Migrants without the right to remain may be held while awaiting deportation, or detained indefinitely. The tough reforms will also allow authorities to search homes and seize personal belongings. The legislation follows public pressure on lawmakers [to limit migration](#); its draft text was criticised by human-rights groups.

Figure of the day: 97%, the share of respondents who could not hear the difference between AI-generated and man-made music, according to a survey by Deezer, a streaming service. Dive into [our report](#) on how AI is changing creative fields.

US in Brief: Republicans react to Trump's Iran deal



Photograph: Getty Images

Republican critics of Donald Trump poured scorn on [his deal](#) with Iran as the president signed the document in Versailles. Bill Cassidy, a Republican senator from Louisiana, called it “the worst foreign-policy blunder in decades”. Meanwhile, the response from some Trump loyalists was tepid: Lindsey Graham, a senator from South Carolina, said the agreement was “beneficial” but added it remained to be seen whether America could reach “an acceptable, verifiable deal” on Iran’s nuclear programme.

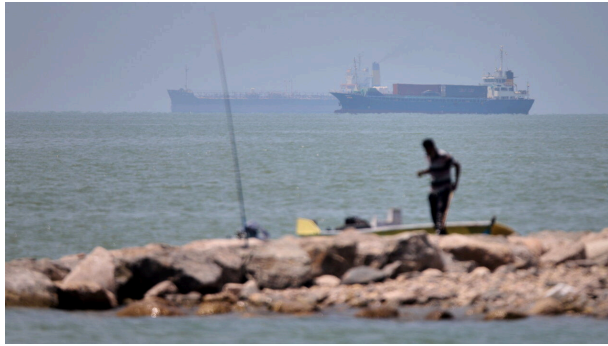
Republicans in **Georgia** abandoned plans to redraw congressional maps for the 2028 elections, for now. Brian Kemp, Georgia’s Republican governor, called a special session to create the new maps last month, after the Supreme Court [weakened the Voting Rights Act](#). But lawmakers said redistricting would require “considerable time” to account for public input and deserved a “responsible, fact-driven approach”.

In **Oklahoma**, Jackson Lahmeyer withdrew from the Republican primary for a seat in the House of Representatives after Mr Trump retracted his [endorsement](#). Last week Mr Lahmeyer, a pastor from Tulsa, admitted sending flirtatious text messages to a woman who is not his wife. Mr Trump swiftly said he was supporting the other

candidate in a Republican run-off, Mark Tedford, who will now take the nomination.

A state court in **Florida** scrapped a law banning those aged 18-20 from carrying a concealed weapon. In a unanimous ruling, the judges said the measure violated the Second Amendment by imposing “severe restrictions” on young adults’ right to defend themselves. The state’s attorney-general, James Uthmeier, celebrated the ruling. Gun laws in the Sunshine State have become laxer in recent years.

A favourable deal for Iran



Photograph: AP

Donald Trump's deal is all carrot and no stick. There will be no regime change; no limits on Iran's ballistic missiles or its support of proxies. The deal focuses on two things. One is Iran's nuclear programme. The country has pledged to down-blend its enriched uranium and discuss the rest of its programme, but is masterful at stringing things along. It "reaffirms" not to get nuclear weapons, but it has promised that for years.

The other is the Strait of Hormuz. Brent crude is below \$80 a barrel, down from more than \$110 in May. But it will take weeks for the strait to be made safe for oil tankers. Morgan Stanley expects the price of "dated Brent"—oil to be delivered within a few weeks—to average \$90 between July and September. And after the 60 days in this deal, vessels transiting the strait may well have to pay Iran a fee. Cheap oil will not return soon.

No ordinary by-election



Photograph: London News Pictures

People in Makerfield, in north-west England, began voting on Thursday for a new member of Parliament. The significance of the by-election extends far beyond its suburban setting: Andy Burnham, the candidate for the ruling Labour Party, has said he will challenge Sir Keir Starmer for the party's leadership—and therefore the post of prime minister—if he wins.

His path to victory in Makerfield may have been eased by a split on the right: Nigel Farage's populist Reform UK, which hopes to win the seat, has had to fight off a surprisingly vigorous campaign from the more hardline Restore Britain.

Polls of Labour members suggest Mr Burnham, currently mayor of Greater Manchester and to the left of Sir Keir, would beat him in a head-to-head contest to [lead the party](#). But he will also face Wes Streeting, a centrist former health secretary who has vowed to stand. Makerfield may be merely the opening skirmish in a long and bitter campaign.

Volkswagen needs a firmer grip on the wheel



Illustration: Sandra Navarro

In recent years Volkswagen Group's sales have dropped sharply. The German carmaker, which also owns marques such as Lamborghini and Skoda, sold nearly 11m vehicles in 2019, but only 9m in 2025. The firm now has too many factories and employees. At its annual general meeting on Thursday its boss, Oliver Blume, is likely to outline how it will meet its target of cutting 50,000 jobs in Germany by 2030. As many as 19,000 may go this year.

vw's woes are many. Cut-throat [Chinese competition in Europe](#) has hit sales, and Donald Trump's tariffs on cars imported into America have been costly. The firm's workers in Germany are too expensive, but it backed away from an earlier plan to close a factory there, fearful of powerful trade unions. Unless Mr Blume now takes more drastic action vw's decline is unlikely to reverse.

South Korea's struggling won



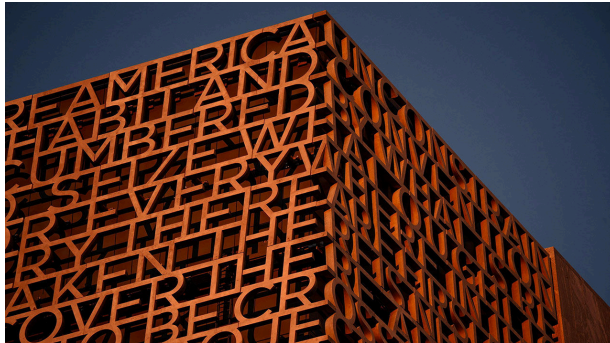
Photograph: AP

Last year, South Korea dodged the worst of Donald Trump's tariffs by pledging to invest \$350bn in America over ten years. On Thursday the government launched a corporation that will raise the funds and manage the investments.

But South Korea's economic challenges are far from over. Despite booming exports the won is at its weakest against the dollar since 2009. Economists fear that will raise inflation, which reached 3.1% in May, even if the Iran truce lowers energy prices. The investments in America could weaken the won further; the government insists they will be too small to do that.

Ironically, foreign interest in South Korea's [soaring stock market](#) has done less to support the won than it might have. The value of Korean stocks has grown so much that some foreign fund managers have to sell to abide by agreed limits on the weight of the country's assets in their portfolios. Meanwhile, South Koreans keep selling won to invest in America's surging tech stocks. If that dynamic continues, the won may remain under pressure.

A monumental tribute to America's 44th president



Photograph: Alamy

The Obama Presidential Centre will host a grand opening on Thursday. Nicknamed the “Obamalisk” by bemused locals, America’s newest presidential library looms over Chicago’s South Side. The 69m-tall behemoth of granite-covered concrete took five years to build and cost \$850m. It is certainly meant to make an impression.

Presidential libraries are an American institution. They are also increasingly elaborate experiments in legacy-building. The Obama Presidential Centre is fully funded by Barack Obama’s foundation and will be run like a private museum. The centre’s Eleanor Roosevelt Fruit and Vegetable Garden, Harriet Tubman Courtyard and Democracy in Action Lab offer some clues about the story Mr Obama wants to tell about himself.

Detractors will decry the project as fawning and hagiographic. Mr Obama doesn’t have to invite them. One face will be notably absent at Thursday’s ceremony. Donald Trump is the only living president who has not made the invite list.

Daily Quiz



Illustration: Sandra Navarro

We will serve you a new question each weekday. On Friday your challenge is to give us all five answers and tell us the theme. Email your responses (and your home city and country) by 1700 BST on Friday to [\[email protected\]](#). We'll pick three winners at random and crown them on Saturday.

Thursday: Who was nominated for his role as best supporting actor in the film “Sideways”?

Wednesday: Which rebellious song was Alice Cooper’s greatest hit?

*To do great work a man must be
very idle as well as very
industrious.*

Samuel Butler